

STANDARD OPERATING PROCEDURE
ELI LILLY AND COMPANY
North American Logistics Operations

NALO Site Self-Inspection and Internal Auditing Program

USD-SOP-NALO Site Self-Inspection and Internal Auditing Program-001

PURPOSE	This procedure provides details of activities, roles, and responsibilities to address the requirements in LQS111, Quality Auditing. The NALO Site Self-Inspection and Internal Auditing Program is designed to ensure the adequacy and effectiveness of NALO quality systems and ensure compliance to regulations, CGMPs, and all governing Lilly Standards. Self-inspections and auditing are proactive means of improving quality. This procedure describes: • the process for creating, maintaining, and closing an annual Site Self-Inspection plan and the process for conducting and documenting Site Self-Inspections, • the Internal Auditing Program executed by GQAAC (Global Quality Auditing and Compliance) and PDS (Pharmaceutical Delivery Systems) at NALO.
AREAS INVOLVED	NALO Operations, NALO Quality Assurance, and NALO support areas
REFERENCES AND RELATED DOCUMENTS	LQS111, Quality Auditing LQS112, Regulatory Authority Communications and Inspections GSOP-101-3, Quality Notification to Management GQS101, Quality Management GQS105, Data Integrity and Good Documentation Practices LQS105, Data Integrity and Documentation Practices Global Records Retention Schedule PDS-SOP-PDS4152, Internal and External Audits GQAAC-SOP003-GQAAC Auditing Program, GQAAC Auditing Program DO23665_LL, NALO Self Inspection Training
ASSOCIATED DOCUMENTS	USD-SOP-NALO Site Self-Inspection and Internal Auditing Program-001 Attachment 1 (NALO Site Self-Inspection Risk Assessment) USD-SOP-NALO Site Self-Inspection and Internal Auditing Program-001 Attachment 4 (NALO Site Self-Inspection topics) USD-SOP-NALO Site Self-Inspection and Internal Auditing Program-001 Attachment 5 (North American Logistics Operations Site Self-Inspection Report Template)
APPROVALS	Approval of this procedure requires the signatures of: Management, NALO Operations Management, NALO Quality Assurance
REASONS FOR REVISION	This procedure was revised in its entirety for clarification of the self-inspection process.

OVERVIEW The NALO Site Self-Inspection (SSI) is a risk-based program that is executed annually by NALO personnel.

The SSI Coordinator is responsible for creating the annual NALO SSI Plan, which must be approved annually by the Site Quality Leader no later than the end of the first quarter of each calendar year.

ROLES AND RESPONSIBILITIES

SSI Coordinator	Creates the annual SSI Risk Plan and Schedule in the quality management electronic system.
NALO Quality Lead Team	- Reviews the annual SSI Risk Plan and Self Inspection Schedule. - Approves critical observations and Response Reports. - Approves all requests for distribution of Inspection Reports outside of Lilly as well as requests from regulatory authorities.
NALO Quality Leader	- Approves the Self Inspection Plan and Schedule - Designates Lead Inspectors after the completion of Curriculum ID: C0111791 (DOAD160: NALO QA Lead Inspector).
NALO Quality	- May serve as a Lead Inspector. The Lead Inspector must not approve their own records. - Approves inspection plan changes, Inspection Reports, and Response Reports.
Inspection Area Manager/Supervisor	- Provides resources such as personnel to participate in the inspection. - Approves Inspection Reports. - Submits Inspection Response Reports for approval via Veeva. - Submits Critical Observation Response Reports within 20 business days of the Inspection Report approval.
Lead Inspector	- Completes Curriculum ID: C0111791 (DOAD160: NALO QA Lead Inspector). - Conducts the Self Inspection of the area, submits the Inspection Report for approval. - Notifies Inspection Area Manager of significant findings. - Notifies Inspection Area Manager and Site Quality Leader, if a potential Critical Inspection Observation is identified.
Inspector	Assists the Lead Inspector with all SSI activities.

**LEAD
INSPECTOR
TRAINING
REQUIREMENTS**

To be qualified as a Lead Inspector, personnel are required to complete Curriculum ID: C0111791 (DOAD160: NALO QA Lead Inspector) and have experience participating in a past SSI or audit.

**SSI RISK PLAN
AND SCHEDULE** The SSI Coordinator follows these steps.

Step	Action
1	Create the SSI Risk Plan using USD-SOP-NALO Site Self-Inspection and Internal Auditing Program-001 Attachment 1. • The scope and system/area to inspect are based on the overall identified level of risk • The time frame for SSI activity execution is established on a quarterly basis
2	Present USD-SOP-NALO Site Self-Inspection and Internal Auditing Program-001 Attachment 1 during the NALO Quality Lead Team (QLT) meeting to gain agreement to proceed and uploaded to Veeva for final approval. Note: Approval signatures indicate that the identified areas of focus for SSI are aligned with the overall risk plan and timing of execution is appropriate.
3	Create a quality management electronic record to schedule and track execution of the SSI activities in alignment with the approved SSI Risk Plan. Assign each SSI work item a Lead Inspector.

EXECUTION

Activity	Responsible
When preparing to execute an SSI activity, consider the following: • Define the scope using USD-SOP-NALO Site Self-Inspection and Internal Auditing Program-001 Attachment 4, • Identify any changes related to the area to be inspected, • Read the SOPs and documents associated with the area to be inspected. Ideally, prepare a list of questions to ensure all areas of the processes are covered, • Review actions from previous inspections, • Secure timing with the area manager/supervisor and personnel of the area to hold an opening meeting to define the scope of the inspection, execute the inspection, and hold a closing meeting.	Lead Inspector and Inspector
For all planned SSI activities: • Execute within the timeframe documented in the SSI plan, • Network with Business area SMEs, • Ensure procedures, processes, and systems include data integrity by design, and are aligned with GQS105 requirements.	Lead Inspector, Inspector, and NALO support Areas
For all completing SSI activities: • Document completion of SSI activity by using USD-SOP-NALO Site Self-Inspection and Internal Auditing Program-001 Attachment 5, upload to Veeva, and send to NALO QA representative (either a R4/P4/M2 level) for approval within 30 days.	Lead Inspector

SSI Observations Classification

- SSI observations are classified as minor, major, or critical according to the risk to product quality and data integrity. Classification criteria are listed in Appendix 1 – Audit Observations Classification in LQS111.
- Critical observations must be communicated via Notification to Management per GSOP-101-3.

SSI Responses

Responses	Expectation	Responsible
Response Submission	The area process owner is responsible for submitting responses within 15 days of the observation summary completion. Download the approved SSI Observation from Veeva and complete the Response section. Each response must include: - Elements of CAPA - corrective and preventative actions Note: Rationale should be provided for no action - An implementation timeline - Name of the implementation owner	NALO Area SME as assigned by Lead Inspector
Response Approval of Non-Critical Observations	Responses must be developed, added to the report, and approved within 30 days of receipt of the written observation(s). Approval signature by the Lead Inspector indicates each response addresses root causes appropriately. Approval by the NALO Area Management and NALO Quality Management indicate actions and timing of implementation are appropriate.	Functional Management and NALO Quality Management
Response Approval to Critical Observations	The response to a critical observation must be developed and approved within 20 business days of receipt of the written observation (date of Lead Inspector signature on the inspection report). Responses to critical observations must be approved by the Lead Inspector, NALO Operations Management, NALO Quality Management, and the Global Quality Leader. Note: Critical Observation Response Reports must be approved within 5 business days of submission. All other Response Reports must be approved within 60 business days of submission.	Lead Inspector, NALO Operations Management, NALO Quality Management, and the Global Quality Leader

ACCESS TO SSI REPORT

SSI reports are internal, confidential documents with controlled distributions and as such are stored in a secure EDMS repository to prevent unauthorized access. SSI reports must not be distributed outside Lilly or provided to regulatory authorities without approval of the Global Quality Leader. Refer to LQS112.

Internal Auditing Program

Overview

NALO is an auditable unit included in the approved annual risk-based audit plan developed respectively by Global Quality Auding and Compliance (GQAAC) and Pharmaceutical Delivery Systems (PDS).

GQAAC and PDS Risk assessments are conducted annually to define the frequency and scope of internal audit considering factors such as:

- Overall compliance status and history,
- Robustness of the quality risk management activities,
- Data integrity,
- Complexity of the site
- Results of previous audits / inspections,
- Major changes to building, Equipment, processes.

Audits risk assessment, planning, execution, reporting and responses are performed in accordance to GQAAC-SOP003-GQAAC Auditing Program for internal audits executed by GQAAC and to PDS-SOP-PDS4152 for internal audits executed by Indianapolis Device Manufacturing (IDM) for PDS.

Audit Types

- Routine/Surveillance Audits: Planned audits to verify the appropriateness and effectiveness of the implementation and operation of the system and/or processes,
 - For Cause/Directed Audits: Performed for any potential quality related issues that may impact product quality, patient safety data integrity or marketing authorization,
 - Quality Due Diligence Assessments (QDDA): High level risk-based review of potential suppliers and service providers. QDDA audits are led by GQAAC.
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Internal Auditing Program

Audit Criteria

The following audit criteria will be utilized, as applicable. Additional standards and regulations not explicitly listed may be utilized.

- 21 CFR Parts 3, 4, 11, 210/211, 801, 803, 806 and 820
- ISO 13485:2016
- ISO 14971:2019
- Council Directive 93/42/EEC MDD and EU Regulation 2017/745 MDR
- Council Directive 2014/53/EU Radio Equipment Directive (EU RED)
- Statutory Instrument 2017 No. 1206, UK Radio Equipment Regulations 2017 (UK RED)
- Statutory Instrument 2002 No. 618, UK MDR 2002
- MDSAP AU P0002
- CMDR SOR/98-282
- Japan MHLW Ordinance 145 and 169
- Brazil RDC ANVISA 665/2022
- Australia Therapeutic Goods (Medical Devices) Act
- Eli Lilly and Company Global Quality Standards (GQS)
- Eli Lilly and Company Quality Standards (LQS)

Access to Internal Audit Report

Audit reports are internal, confidential documents with controlled distributions. Audits reports must not be distributed outside Lilly or provided to regulatory authorities without approval of the Global Quality Leader. Refer to LQS112.

RECORD RETENTION

Records of NALO SSI and internal audits performed by GQAAC and IDM for PDS are maintained in accordance with the requirements of the Global Records Retention Schedule.

Document Approval Signatures

Approved Date: 18 Dec 2025

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